

አሰር ኮንስትራክሽን ኃ.የተ.የግ.ማ ASER CONSTRUCTION P.L.C	Procedures	Document No
		OP/PRD/002
	Foreign Purchase Procedures	Issue. No
		01

Issue History			
Issue No.	Description of Change	Originator	Effective Date
1	Initial Release	Task Force	01 May 2019

REFERENCE DOCUMENTS	
Document Number	Document Title
ES-ISO 9001:2015	Quality Management system-Requirements, clause 8
ES-ISO 9000:2015	Quality Management system fundamental and vocabulary

CONTENTS	Page No.	FOR DOCUMENT CONTROL USE ONLY
1. Purpose	1	
2. Scope	1	
3. Process Owner	1	
4. Definitions and Abbreviations	2	
5. Procedure	3	
6. Recored	4	
7. Related document	4	

1. Purpose

To direct any local purchase undertaken by the procurement department at ASER construction

2. Scope

This procedure applies to all local purchase at Aser Construction.

3. Process owner

Procurement Department

APPROVED BY:	Name: 	Signature: 	Page 1 of 4
---------------------	---	---	-------------

አሰር ኮንስትራክሽን ፓ.የተ.የግ.ማ ASER CONSTRUCTION P.L.C	Procedures	Document No
		OP/PRD/002
	Foreign Purchase Procedures	Issue. No
		01

4. Definitions & Abbreviations

4.1 Definitions

Not Applicable

4.2 Abbreviations

FLW = flow chart

PRD=Procurement Department

Dept = department

ASER = Aser Construction PLC.

DGM=Deputy General Manager

N.B:-

- If the payment is using letter of Credit /LC/, foreign currency request using bank permit
- If the payment is using Cash Against Document /CAD/, foreign currency request using PO
- The following documents should be attached to our bank permit or purchase order /PO/
 - ✓ Performa Invoice
 - ✓ Insurance coverage letter

APPROVED BY:	 Name:  Signature:	Page 2 of 4
---------------------	---	-------------

አሰር ኮንስትራክሽን ኃ.የተ.የግ.ማ ASER CONSTRUCTION P.L.C	Procedures	Document No
		OP/PRD/002
	Foreign Purchase Procedures	Issue. No
		01

- ✓ Copies of business license, TIN certificate and registration certificate of our company
- ✓ National Bank Account. No
- ✓ Letter of permission from Roads Authority/Ministry of Urban development office to import the truck/Machinery

The moment we receive the foreign currency, we have to open the LC/CAD/ When we open the LC, we have to consider the following points:

- Whether the LC is conferment irrevocable or irrevocable only.
- Is it in Fob Value or C&F value (C&F= Cost and Freight)
- Type of currency
- Indicate insurance coverage locally or not
- Description of the item to be purchased
- Origin of item or equipment
- Shipment date and LC expire date
- Port of shipment and discharge
- Type and quantity of documents required
- The moment the LC is opened, we shall make aware our supplier regarding the LC opening
- If the method of payment is CAD, we have to send purchase order /PO/ approved for foreign currency to the supplier. We have to notice that the PO is replaced with permit for customs purpose when then required documents are arrived at our bank.
- We have to receive the shipping document from bank and effect the sea /Air freight cost.
- We have to apply to Ethiopian Revenue and Customs Authority in order to receive duty free letter for machinery/Vehicle to be imported.
- We shall submit the following documents attached with the application letter
- Commercial invoice /13 copies/
- Certificate of origin /1 copy/
- Packing list /1 copy/
- Bill of loading /1 copy/

APPROVED BY:	  Name: Signature:	Page 3 of 4
---------------------	---	-------------

አሰር ኮንስትራክሽን ኃ.የተ.የግ.ማ ASER CONSTRUCTION P.L.C	Procedures	Document No
		OP/PRD/002
	Foreign Purchase Procedures	Issue. No
		01

- Foreign exchange permit /1 copy/
- Principal registration /1 copy/
- Business license /1 copy/
- Tax payer identification / 1 copy/
- Investment license /1 copy/
- Memorandum of association and Article of association /1 copy/
- Application format

6. Record

- ❖ Supplier Selection Criteria
- ❖ Approved list of Suppliers
- ❖ Suppliers Performance Evaluation

7. Related document

Document Title	Document No.
Local Purchase Procedure	OP-PRD-001

APPROVED BY:			Page 4 of 4
	Name:	Signature:	